Panel C

AS AT MARCH 31, 2013		Asset Mix		Exposure Mix
ASSET CLASS	($ billions)	(%)	($ billions)	(%)
CANADIAN EQUITIES	**15.3**	**8.4%**	**17.6%**	**9.6%**
Public	13.1	7.2%		
Private	2.2	1.2%		
FOREIGN DEVELOPED MARKET EQUITIES	**64.0**	**34.9%**	**89.4**	**48.7%**
Public	35.4	19.3%		
Private	28.6	15.6%		
EMERGING MARKET EQUITIES	**12.4**	**6.7%**	**12.1**	**6.6%**
Public	10.6	5.7%		
Private	1.8	1.0%		
FIXED INCOME	**60.7**	**33.1%**	**53.2**	**29.0%**
Non-marketable bonds	24.4	13.3%		
Marketable bonds	28.1	15.3%		
Inflation-linked bonds	0.4	0.2%		
Other debt	8.6	4.7%		
Money markets and debt financing	(0.8)	– 0.4%		
FOREIGN SOVEREIGN BONDS	–	**0.0%**	**11.2**	**6.1%**
REAL ASSETS	**31.1**	**16.9%**		
Real estate	19.9	10.8%		
Infrastructure	11.2	6.1%		
TOTAL[1]	**183.5%**	**100.0%**	**183.5**	**100.0%**

[1] Excludes non-investment assets such as premises and equipment and non-investment liabilities.

Figure 14.5 (continued)

fund has a reasonable chance of meeting the liabilities of the Canada Pension Plan. The factor decision in the Reference Portfolio is taken at the very top by the board of CPPIB.

The management team of CPPIB is responsible for any deviations from the Reference Portfolio, which they are required to justify. As David Denison, the former CEO of CPPIB, explained:

> Our decision to vary from the Reference Portfolio is our responsibility. If we want to build up a real estate team—we have to recover that cost. Do we really want to spend those extra dollars? We have to have the conviction that it will yield, net of costs, incremental returns for the Canada Pension Plan fund.

The example investments in Figure 14.5 in private equity (Panel A) and real estate (Panel B) are made by CPPIB because the portfolio managers think they can create value, net of costs, above the Reference Portfolio. Put simply, CPPIB is hunting for alpha. Viewed in this fashion, the factor decompositions in Figure 14.5 are *factor-mimicking portfolios* (see chapter 7), and the alpha is the return CPPIB can generate over and above the factor exposures. These factor-mimicking portfolios